CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. ED8B0653A
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
CONFIDENTIAL - SUBJECT TO PROTECTIVE ORDER

**From:** TKreller@milbank.com <tkreller@milbank.com>
**Sent:** Thu, 3 Aug 2000 07:20:00 -0700 (PDT)
**To:** Lisa.Mellencamp@enron.com <lisa.mellencamp@enron.com>, PAronzon@milbank.com <paronzon@milbank.com>, SHoward@milbank.com <showard@milbank.com>, TKreller@milbank.com <tkreller@milbank.com>, SBhalla@milbank.com <sbhalla@milbank.com>
**Cc:** Richard.B.Sanders@enron.com <richard.b.sanders@enron.com>, Linda.Simmons@enron.com <linda.simmons@enron.com>, Deb.Korkmas@enron.com <deb.korkmas@enron.com>, Donna.Lowry@enron.com <donna.lowry@enron.com>
**Subject:** RE: NSM - Claim Filing

I have just spoken at length with Richard Smith regarding certain of the concerns raised in the e-mail below.? Richard's main concerns were as follows:

1.? As to filing of a claim for equity interests held, Richard indicates that this is not common practice and there may not be any provision for it in Thai bankruptcy law.? The claims to be filed are "applications for debt repayment", which are intended to set forth a fixed sum of which the creditor seeks payment.? Given the nature of equity investments, they do not really fit into the governing Thai bankruptcy law provisions.? Richard is following up with his Thai partner to further explore this issue, and I will be speaking with both of them later today.

2.? As to the contingent indemnification claims, Richard advises that the "application for debt repayment" must state a claim in a fixed amount.? Again, he is going to consult with his Thai partner on this issue, but his suggested approach is to file the claims as follows:? (1) with respect to the pending litigation, in the face amount of the claims asserted against the defendants (as an approximation of the potential maximum exposure); and (2) with respect to any potential litigation, in the total face amount of the bond issuances (also as an approximation of potential maximum exposure).? Two areas of greater uncertainty are any claims for legal fees and/or punitive damages, which obviously are not readily quantifiable.

I will keep you advised of our further discussions on these issues.?

-----Original Message-----
From: Eammongkolchai, Pichitphon
[mailto:pichitphon.eammongkolchai@linklaters.com]
Sent: Thursday, August 03, 2000 9:17 AM
To: 'Lisa Mellencamp'; paronzon@milbank.com; showard@milbank.com; tkreller@milbank.com; 'SBhalla@milbank.com'
Cc: Richard B Sanders; Linda Simmons; Deb Korkmas; Donna Lowry; Okanurak, Wilailuk; Dunn, Charles; Smith, Richard; Phungmaha, Ajaree

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Subject: NSM - Claim Filing

We write further to our telephone discussion with Deb Korkmas this evening (our time) in relation to the above matter.

As discussed during the course of our telephone discussion, there are a number of outstanding issues that, bearing in mind the 12 hour time difference between Bangkok and you and the deadline of the claim submission which is on Monday 7 August, we would require them to be settled by Friday.

1.????? Claim amounts
We note from the documentation so far received by us and your e-mail yesterday that the following entities will claim under the following agreements:

1.1???? Enron North America Corp. wishes to claim for the principal amount outstanding and the interest outstanding for the Notes under the Security Purchase Agreement, Indenture and Guarantee.? We would appreciate it if this could be confirmed and also the definite amount of principal and interest that is to be claimed.

1.2???? Enron North America Corp. wishes to claim for the shares (equity), as listed in the Shareholders Agreement, held by it in NSM.? However, having reviewed the documentation so far received by us we are unsure as to the legal grounds under which Enron North America Corp is entitled to claim this sum.? Could you please clarify the nature of this claim.

1.3???? ECT Thailand Investment Inc. wishes to claim for the shares (equity), as listed in the Securities Purchase Agreement, held by it in NSM. However, as in 1.2 above, having reviewed the documentation received by us we are unsure as to the legal grounds under which ECT Thailand Investment Inc is entitled to claim this sum.? Could you please clarify the nature of this claim.

1.4???? ECT Securities Limited Partnership wishes to claim for any contingent liability that they may be subject to as a result of the litigation undertaken by Farallon Capital, et al. and Legg Mason Income Trust, Inc., et al.? As discussed, the sums which are allowed to be claimed have to be fixed sums as of the date on which the court granted an order to reorganise NSM's business, i.e. 8 May 2000.? It would appear to us that, asides from the legal fee sums, an exact sum for the contingent liabilities cannot be ascertained at this time. I would, therefore, appreciate clarification of how this is to be determined, otherwise the claim amount may have to be the full potential liabilities as claimed in the two litigation cases.

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2.????? Documentation
As discussed, we also require the following documentation which we understand will be faxed to us during the course of today.

2.1???? Corporate documents of the 3 entities making claims
2.2???? Evidence of the change in the entities name if different from the name in the relevant agreements
2.2???? Debenture Certificate (either global or definitive)
2.3???? Evidence of the payment purchase price
2.4???? A copy of the Notice of the Event of Default or demand letters as sent by the Trustee (if any)
2.5???? The "Definition and Rules of Usage" as defined in the Shareholders Agreement (in addition, we do not know whether your claims in relation to the Shareholders Agreement are related to certain documents as described therein, e.g. Management Agreement, Enron Purchase Agreement, if they are related, we would require copies of such agreements as well)
2.6???? Tables setting out all amounts (i.e. principal, interest, expenses, etc.) being claimed by the 3 claiming entities

As mentioned in our discussion, in order to complete the application on time we would really need to have everything in place by Friday, given the deadline of the claim submission is on Monday, 7 August.? We would, therefore, appreciate it if you could reply to all of the above outstanding issues by today (your time) so that if there are any further outstanding issues we can try and clarify these during the course of tomorrow (our time) and perhaps during the weekend.? You may either respond to this email or